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a. If the provision required at the end plus the discount allowed, is higher than the existing provision, the difference amount will be created as provision in the current year and will appear on the debit side of profit and loss account.

b. If the provision required at the end plus discount allowed, is lesser than the existing provision, the excess is written back and will appear on the credit side of profit and loss account.

The presentation in the balance sheet is as below:

Debtors	xxx
Less Bad debts (in adjustments)	xxx
	xxx
Less Provision for doubtful debts (end) (adjustment)	xxx
	xxx
Less Provision for discount on debtors (end) (adjustment)	xxx
Balance to be shown in balance sheet	xxx

Example

The trial balance for the year ended 31st March, 2016 shows sundry debtors as ` 50,000. Adjustment: Create a provision for discount on debtors @ 1%.

Provision for discount on debtors = ` 50,000 x 1/100 = ` 500. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2016	Profit and loss A/c	Dr.		500	
March 31	To Provision for discount on debtors A/c				500
	(Provision for discount on debtors made)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2016 Cr.

Particulars	`	`	Particulars	`	`
To Provision for discount on debtors		500			

Balance Sheet as on 31st March, 2016

Liabilities	`	`	Assets	`	`
			Sundry debtors	50,000	
			Less: Provision for discount on debtors	500	49,500



Student activity

Think: Is it possible to change the rate of provision for bad and doubtful debts? Under what circumstances will the trader decide this?